



within a year and a half. He made tremendous gains and he laughed at the investor who held on to the stock since the beginning and got a return of 79 per cent CAGR. A speculator could have short sold Hindustan Lever at Rs. 210 in November 2003 and recovered it at Rs. 120 in August 2004 making a return that even a long-term investor in Hindustan Lever would envy. Speculators do make a killing, as some would have definitely done during the various periods of the boom and the bust cycles. The only rider is, can they do it consistently over time? A lot of speculators could have made more money than the long-term investors on the above stocks. So it is difficult to say which strategy is good and which is bad. It depends upon the individual's mental attitude, discipline, risk-taking ability and patience.

This conclusively proves a few points namely:

- Long-term investing can be very rewarding if you buy the right company at the right price,
- A stock can decline significantly in the short run and yet give a decent long-term return,
- Short-term investing (speculation) can also be very rewarding if you are able to time the markets and take advantage of short-term volatility.

 **Table 2.1 Compounded Annual Growth Rate of Infosys Technologies Ltd.**

(Rupees in crores)

<i>Year ended March</i>	<i>Net Profit</i>	<i>Market Cap as on March 31st</i>	<i>PE Ratio</i>
2000	294	58900	200
2001	629	27012	43
2002	808	24713	31
2003	958	26763	28
2004	1243	32908	26
CAGR	43%	-14%	